

SECTION A**QUESTION 1**

(a) (i) Definition of accounting

Accounting is a process of identifying, recording, classifying, summarizing, communicating and interpreting the results of business or economic transactions to users in order for them to make decisions.

(ii) 4 branches of accounting

1. Financial Accounting
2. Management Accounting (Managerial Accounting)
3. Cost Accounting
4. Auditing
5. Public Sector Accounting
6. Taxation
7. Forensic Accounting
8. Accounting Information System

(b) Identify the relevant accounting concept

- (i) Full Disclosure Concept/ Consistency Concept
- (ii) Historical Cost Concept
- (iii) Consistency Concept
- (iv) Expense Recognition Concept
- (v) Economic Entity Concept

(c) 2 differences between revenue expenditure and capital expenditure

	Revenue expenditure	Capital expenditure
1.	Expenditures that incurred to maintain the assets in working condition and for the operation of the business. Or It is a routine expenditure incurred in the normal operation of the business.	Expenditures that incurred to acquire a fixed asset or/and cost to bring it into working condition. Or Expenditures incurred in acquiring or improving non-current assets
2.	Decrease the business profit.	Doesn't affect profit but it improves the efficiency or substantial working life of fixed assets.
3.	The benefit is received for the current period and recurring.	The benefit of which is received over a period of more than one year and normally a non-recurring outlay

4.	Reported in the Statement of Profit or Loss/Statement of Comprehensive Income as expenses.	Reported in the Statement of Financial Position as new balance of that particular assets.
5.	Immediately charged against revenue as an expense	Increase the company investment in productive facilities as an asset
No marks for examples	E.g. Repairs of furniture, Maintenance of machinery, other operational and nonoperational expenses.	E.g. Purchase of machinery, Installation cost of machinery, Custom duty on machinery, legal fees etc.

(d) Cash basis accounting

Cash basis accounting is the basis where only cash transactions will be recorded. Revenues will be recognized and recorded when cash is received while expenses will be recognized and recorded when cash is paid.

QUESTION 2

(a) Appropriate terms for the following

- (i) Standing Order or Standing Instruction
- (ii) Non-sufficient Fund Cheque or Bounced/Dishonoured Cheque (iii) Outstanding Cheque or Unpresented Cheque

(b) (i) 2 transactions that affect AR

1. Sold merchandise on account
2. Perform service on account
3. Debtors make payment
4. Debtors return defective merchandise
5. Giving sales discount to debtors
6. Bad Debts or written-off of uncollectible debts

(ii) 2 reasons for incurrence of actual bad debt expense

1. Debtor goes bankrupt.
2. Death of a debtor.
3. Debtor cannot be traced.
4. Debtor goes insane.

(c) 2 differences between periodic inventory system and perpetual inventory system

	periodic inventory system	perpetual inventory system
1.	Companies performed physical inventory count to determine the cost of goods on hand at the end of each accounting period	Companies calculate and update inventory records after each sales and purchase transaction continuously throughout the year

2.	Companies do not keep detailed inventory records of the goods on hand throughout the period.	Companies keep detailed records of the cost of each inventory purchase and sale.
3.	Transactions involving buying and selling inventory is not recorded in inventory record	Transactions involving buying and selling inventory is recorded in inventory record
	on a daily basis. No record kept on both quantities and costs of the inventories.	on a daily basis to keep track of both quantities and costs of the inventories.
4.	Value of ending inventory only be known after a physical counting at the end of accounting period.	Value of ending inventory can be known any time when inventory account updated after every transaction.
5.	Purchases of goods are recorded in Purchases Account.	Purchases of goods are recorded in Inventory Account.
6.	Best suited for small businesses selling high-priced, low volume products.	Best suited for businesses selling highvolume products with several outlets.

(d) 4 examples of cost that can be included in determining initial cost for machinery and equipment

1. Price of the machine and equipment as stated in the invoice
2. Transportation/delivery cost of the machine and equipment
3. Installation cost of the machine and equipment
4. Sales tax of the machine and equipment
5. Insurance while in transit

QUESTION 3

(a) 3 types of special journals:

1. Sales Journal
2. Purchases Journal
3. Cash Receipts Journal
4. Cash Payments Journal

(b) 6 types of source documents

1. Invoice
2. Delivery Note
3. Credit Note
4. Debit Note
5. Purchase Order
6. Payment Voucher
7. Receipt
8. Cheque Stub
9. Bank Slip
10. Bank Statement

(c) Identify items listed below as “Current Liability” or “Non-current Liability”

- (i) Current Liability
- (ii) Current Liability
- (iii) Non-current Liability
- (iv) Non-current Liability
- (v) Current Liability
- (vi) Non-current Liability
- (vii) Current Liability
- (viii) Current Liability

(d) 2 methods in calculating net profit for business with incomplete records.

- 1. Capital comparison method
- 2. Analysis method

(e) 3 effects that arise when business does not keep complete records of business transactions

- 1. Trial Balance cannot be prepared to check the arithmetical accuracy of records.
- 2. Information related to assets and liabilities cannot be reliable because respective accounts have not been maintained.
- 3. Profit or Loss cannot be ascertained.
- 4. Difficult to evaluate company performance
- 5. Fraud and corruption could be easily occurred
- 6. Hard to evaluate the business performance because comparison of the past and the current business is not easy to do
- 7. The owner might have problem in loan’s application.

SECTION B

QUESTION 1 [20 marks]

(a) Bank Reconciliation Statement – Kemboja Sdn. Bhd.

Kemboja Sdn. Bhd.
Bank Reconciliation Statement as
at 31 August 2018

ITEM	RM	RM
Cash Balance Per Bank Statement		(265)
Add : Deposit In Transit		
Balenciagae		1,379
		<u>1,114</u>
Deduct : Outstandings Cheque		
Beejanni 40054	979	
Chanelli 40056	72	
Salary 40057	495	(1,546)
Adjusted Cash Balance Per bank		<u>(432)</u>

Cash Balance Per cash book		(1,449)
Add : Dividend – KMP Sdn. Bhd.	660	
Interest on Fixed Deposit	377	1,037
		(412)
Deduct :		
Bank Charges		(20)
Adjusted Cash Balance Per cash book		(432)

(b) Accounting for Acc. Receivable – Lavender Ent.

(i) Bad Debt Expense = 5% x RM72,000
= **RM3,600**

(ii) Journal entries to record the write-off of bad debt and the bad debt expense

Date	Account Titles And Explanation	Debit (RM)	Credit (RM)
2018	Allowance for Doubtful Debts Accounts Receivable (to record the write-off of the uncollectible debts)	240	240
	Bad Debt Expense Allowance for Doubtful Debts (to record the estimation of doubtful debts based on 5% of net credit sales)	3,600	3,600

(iii)

Allowance for Doubtful Debts				
Accounts Receivable	240	Balance	b/f	3,000
Balance	c/f	6,360	Bad Debt Expense	3,600
		6,600		6,600

(iv) Statement of Profit or Loss

Lavender Enterprise
Statement of Profit or Loss
For the year ended 31 December 2018

	<u>RM</u>	<u>RM</u>
Sales (72,000 + 1,600)		73,600

(-) Cost of goods sold		(54,000)
Gross profit		<u>19,600</u>
(-) Operating expenses:		
Bad Debt Expense	3,600	
Other Expenses	5,940	
		<u>(9,540)</u>
Total operating expenses		<u>10,060</u>
Net Profit		

(v) Statement of Financial Position

Lavender Enterprise
Statement of Financial
Position (extract) as at 31
December 2018

	<u>RM</u>	<u>RM</u>
Current Assets		
Accounts Receivable	38,600	
(-) Allowance for Doubtful Debts	(6,360)	
	<u> </u>	32,240
Net realizable value		

QUESTION 2

(a) Accounting for Inventories – Tulip Sdn. Bhd.

(i) Perpetual Inventory Record (FIFO)

Date	Purchase			Cost of goods sold			Balance		
	unit	cost/u	RM	unit	cost/u	RM	unit	cost/u	RM
2019 May 1							50	50	2,500
3	60	60	3,600				50	50	2,500
							<u>60</u>	60	<u>3,600</u>
							110		6,100
4				50	50	2,500	<u>40</u>	60	<u>2,400</u>
				20	60	1,200	40		2,400

10	200	70	14,000				40 <u>200</u> 240	60 70	2,400 <u>14,000</u> 16,400
16				40 40	60 70	2,400 2,800	<u>160</u> 160	70	<u>11,200</u> 11,200
19	40	80	3,200				160 <u>40</u> 200	70 80	11,200 <u>3,200</u> 14,400
25				130	70	9,100	30 <u>40</u> 70	70 80	2,100 <u>3,200</u> 5,300
				Cost of goods sold = RM18,000			Ending inventory =RM5,300		

(ii) Periodical system – Weighted Average Method

Cost of goods available for sale:

		<u>RM</u>
50 x RM50	=	2,500
60 x RM60	=	3,600
200 x RM70	=	14,000
40 x RM80	=	3,200
Cost of goods available for sale		23,300

$$\begin{aligned}\text{Units of goods available for sale} &= 50 + 60 + 200 + 40 \\ &= 350\end{aligned}$$

$$\begin{aligned}\text{Sales unit} &= 70 + 80 + 130 \\ &= 280\end{aligned}$$

$$\begin{aligned}\text{Ending inventory unit} &= 350 - 280 \\ &= 70\end{aligned}$$

$$\begin{aligned}\text{Average cost} &= \text{RM}23,300 / 350 \text{ units} \\ &= \text{RM}66.57 \text{ per unit}\end{aligned}$$

$$\begin{aligned}\text{Ending inventory cost} &= \text{RM}66.57 \times 70 \text{ units} \\ &= \textbf{RM4,659.90}\end{aligned}$$

$$\begin{aligned}\text{Cost of goods sold} &= \text{RM}23,300 - \text{RM}4,659.90 \\ &= \textbf{RM18,640.10}\end{aligned}$$

QUESTION 3 – Accounting for Non-Current Assets

(a) Cost of the machinery and journal entries

(i) Cost of the machinery

	RM
Purchase price	10,000
Transportation cost	400
Installation cost	1,200
Total cost	11,600

(ii) Journal entries

Date	Accounts	Debit (RM)	Credit (RM)
2018	dr. Machinery Prepaid Insurance cr. Cash (to record the purchased of the machinery, and the premium insurance)	11,600 250	11,850

(b) Rafflesia Ent.

(i)

Date	Accounts	Debit (RM)	Credit (RM)
2017 Oct.	dr. Accumulated Depreciation - Machine Cash cr. Machine Gain on Disposal (to record sales of the machine at a gain) Calculation: *Acc. Depreciation = $[(91,000 - 7,000)/7] \times 3\text{yrs}$ **Gain on Disposal = $72,000 - (91,000 - 26,000)$	36,000* 72,000	91,000 17,000**

(ii)

Date	Accounts	Debit (RM)	Credit (RM)
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2018 Sept.	dr. Accumulated Depreciation - Machine Cash Loss on Disposal cr. Machine (to record sales of the machine at a loss) Calculation: *Acc. Depreciation = $[(91,000 - 7,000)/7] \times 4\text{yrs}$ **Loss on Disposal = $28,000 - (91,000 - 48,000)$	48,000* 28,000 15,000**	91,000
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(iii)

Date	Accounts	Debit (RM)	Credit (RM)
2018 Sept.	dr. Accumulated Depreciation – Machine Machine Loss on Disposal cr. Machine Cash (105,000 – 35,000) (to record exchange of the machine at a loss) Calculation: *Acc. Depreciation = $[(91,000 - 7,000)/7] \times 4\text{yrs}$ **Loss on Disposal = $35,000 - (91,000 - 48,000)$	48,000* 105,000 8,000**	91,000 70,000

(iv)

Date	Accounts	Debit (RM)	Credit (RM)
2018 Jan.	dr. Machine cr. Cash (to record the purchase of the machine)	20,000	20,000
Dis. 31	dr. Depreciation Expense – Machine (20,000/2) cr. Accumulated Depreciation – Machine (to record depreciation expense of the machine for the current year)	10,000	10,000

QUESTION 4

a. (i) Journals

Date	Accounts and explanation	Debit	Credit
2019 Jan 1	dr. Bank cr. Notes Payable, 9% (to record a loan by signing a 6-month notes payable, 9%)	35,000	35,000
	dr. Bank cr. Long-term Loan, 3% (to record a long term loan with Union Bank)	250,000	250,000
	dr. Interest Payable cr. Bank (to record the settlement of interest for 2018)	5,000	5,000
12	dr. Unearned Service Revenue cr. Service Revenue (to record service provided to the customer who have made prior payment)	10,000	10,000
20	dr. Accounts Receivable (600 units' x RM55) cr. Sales (to record sales on account)	33,000	33,000
	dr. Warranty Expense (RM33,000 x 8%) cr. Warranty Payable (To accrue estimated warranty liability of 8% on sales revenue)	2,640	2,640

(ii) Adjusting entries on 31st January 2019

Date	Accounts and explanation	Debit (RM)	Credit (RM)
2019 Jan 31	dr. Interest Expense (RM262.50 + RM625 + RM500)* cr. Interest Payable (to record interest expense for the current year)	1,387.50	1,387.50

*Calculations: -

Interest expense for Notes Payable, 9%
 $= \text{RM}35,000 \times 9\% \times 1/12 = \text{RM}262.50$

Interest expense for Long-term Loan, 3%
 $= \text{RM}250,000 \times 3\% \times 1/12 = \text{RM}625$

Interest expense for Long-term Loan, 4%
 $= \text{RM}150,000 \times 4\% \times 1/12 = \text{RM}500$

(b) (i) Statement of Profit or Loss

**Perniagaan Matahari Statement of Profit or Loss for the
year ended 31 December 2018**

	<u>RM</u>	<u>RM</u>
Sales		19,800
(-) Cost of goods sold		
Beginning Inventory	-	
Purchases [(500 + 1,160 – 750) + 4,750]	5,660	
Cost of goods available for sale	5,660	
(-) Ending Inventory	(1,500)	
Cost of goods sold		(4,160)
Gross profit		15,640
(-) Operating expense		
Depreciation Expense – Equipment (5,630 x 10%)	563	
Depreciation Expense – Motorcycle (4,000 x 10% x 9/12)	300	
Salaries Expense 6,000 Rental Expense 1,400		
Utilities Expense (1,000 + 500)	1,500	
TOTAL		(9,763)
Operating Income		5,877
(-) Other expenses:		
Interest Expense (4,000 x 4% x 9/12)		(120)
Net profit		5,757

Calculation beginning capital:

	RM	RM
<u>Beginning Assets:</u>		
Equipment	5,630	
Cash	12,780	
TOTAL		18,410
<u>Deduct: Beginning Liabilities</u>		
Accounts Payable		(750)
TOTAL Beginning Capital		RM17,660

(ii) Statement of Financial Position

**Perniagaan Matahari Statement of
Financial Position as at 31 December
2018**

	<u>RM</u>	<u>RM</u>
ASSETS		
Non-Current Assets:		
Equipment 5,630 (-) Accumulated depreciation- Equipment (563)		5,067
Motorcycle	4,000	
(-) Accumulated depreciation- Motorcycle	(300)	3,700
		<u>8,767</u>
Total Non-Current Assets		
Current Assets:		
Cash (12,780 + 19,800 – 13,950)	18,630	
Inventory	1,500	
		<u>20,130</u>
Total Current Assets		<u>RM28,897</u>
Total Assets		
Owner's Equity:		
Beginning capital	17,660	
(+) Net Profit	5,757	
	<u>23,417</u>	
(-) Drawings	(300)	
Ending capital		23,117
Current Liability:		
Loan, 4%	4,000	
Interest Payable	120	
Accounts Payable	1,160	
Utilities Payable	500	
		<u>5,780</u>
Total Current Liability		5,780
Total Owner's Equity & Liability		<u>RM28,897</u>